

# Mr. Madhav Rajpal vs M/S Quetzco Private Limited on 27 October, 2025

IN THE COURT OF SH. SUNIL BENIWAL,  
DISTRICT JUDGE-06, SOUTH DISTRICT,  
SAKET COURTS, NEW DELHI.

CS DJ No.393/2020

CNR No.DLST01-004641-2020

Mr. Madhav Rajpal  
S/o Sh.Sunil Rajpal  
Greater Kailash-II,  
New Delhi 110048.

....Plaintiff

VERSUS

1. M/s Quetzco Private Limited  
103-104 (1st Floor), Orbit Plaza,  
New Prabhadevi Marg,  
Mumbai 400025.
2. Mr. Prashant Kamalakar Pradhan  
Director M/s Quetzco Private Limited  
103-104 (1st Floor), Orbit Plaza,

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New Prabhadevi Marg,  
Mumbai 400025.  
Email - prashant@quetzco.com  
Mob: 9029024989.

3. Mr. Kapil Pradhan  
Authorised Signatory/Representative  
M/s Quetzco Private Limited  
103-104 (1st Floor), Orbit Plaza,  
New Prabhadevi Marg,  
Mumbai 400025.  
Email - kapil@quetzco.com  
Mob: 9137333327.

&  
Space/Shop No.201 (GF),  
Property No.13, Avantika Building,  
J Block, Market Saket,  
Saket, New Delhi 110017.

.....Defendants

Date of Institution : 09.10.2020

Date of Judgment : 27.10.2025

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Suit for recovery of possession, arrears of rent/use and occupation charges, mesne profit and permanent injunction

## JUDGMENT

1. Plaintiff has filed the present suit against the defendants for recovery of possession, arrears of rent/use and occupation charges, mesne profit and permanent injunction in respect of suit property i.e. Space/shop No.201 having super area of approx 240 sq ft and covered area of 150 sq fts on the ground floor of property No.13 in Avantika Building, situated at DDA LSC (Local Shopping Centre), J Block Market, Saket, New Delhi 110017.

2. Case of the plaintiff in brief is that the plaintiff is the sole & absolute owner/landlord of all that Space/Shop No. 201 having super area of approx. 240 Sq. Fts. and covered area of 150 Sq. Fts., on the Ground Floor of Property No. 13, in Avantika Building, situated at DDA LSC (local shopping centre), J Block Market, Saket, New Delhi-110017, with all fixtures, fittings & separate electricity connection (hereinafter referred to as 'suit property').

3. It is further averred in the plaint that the Defendant No. 1 is a private limited Company duly incorporated under the Companies Act 1956, and the defendant No. 2 is the promoter director of the defendant no. 1 company and looking after and managing the day to day affairs of the said Company, while the defendant no.3 is the authorized representative of the defendant no. 1 company who is also looking after and managing the day to day affairs of the Company at Delhi i.e business run at the said premises and is also the signatory (being authorized representative of the defendant No.1) of the lease deed.

4. Further, defendant No.1 through defendants No. 2 and 3 approached the plaintiff for taking on lease/rent the suit property and after deliberations, the plaintiff agreed to let out/give on rent to the defendants and defendants agreed to take on rent/lease the suit property from the plaintiff on a monthly rent of Rs.80,000/- (Rupees Eighty Thousand only) per month subject to deduction of TDS (as applicable), excluding electricity consumption charges, for a total period of five years (60 Months) commencing from 10/03/2019 to 09/03/2024 vide registered Lease Deed dated 5th March 2019 duly registered in the Office of the Sub Registrar VA, New Delhi on 8th March 2019 at Registration No. 1554 in Book No. I, on the terms and conditions as contained/stipulated in the said Lease Deed.

5. As per the terms of the aforesaid lease deed, first 12 months of the lease period i.e. from 10/03/2019 to 09/03/2020 was to be treated as lock-in-period for the lessee; rent was agreed to be

increased by 15% after three years and the lessee (defendant) was page 4 of 69 liable to issue/give post dated cheques towards the payment of rent for first twelve months, and subsequently for every after 12 months. The defendants paid Rs.2,40,000/- to the plaintiff towards interest free security deposit, which was to be refunded to the lessee/defendant after expiry of the lease period or early determination (as the case may be) after deducting/adjusting all the dues & demands towards the arrears of rent and other dues & demands.

6. It is also averred that by way of Supplementary Lease Deed dated 17th January 2020, with mutual consent of the parties, the rent in respect to the suit property was reduced to Rs.70,000/- (Rupees Seventy Thousand only) per month with effect from 1st March 2020.

7. Further that it was also categorically and expressly agreed by and between defendants and plaintiff, and so recorded in the aforesaid lease deed that the lessee/defendants will regularly and punctually pay the monthly rent in advance on or before 7th day of each English Calendar month. The said lease deed (Clause-22(B)) further provides; "The Lessor shall be entitled to terminate the lease without any written notice if at any time the rent shall remain unpaid for any one month (even during the lock-in period) or if the Lessee fails to perform any of the obligations/covenants of the lease deed and in that case of termination, the lessee shall vacate and page 5 of 69 handover the schedule property i.e said premises forthwith to the lessor."

8. It is further stated in plaint that the defendants did not pay any rent for consecutive three months as the cheques issued by the defendants to the plaintiff, in discharge of their liability towards the payment of monthly rent for the months of April, May & June 2020, being Cheques bearing No.000024 dated 07/04/2020 for Rs.63,000/- and No.000025 dated 07/05/2020 for Rs.63,000/-, drawn on HDFC Bank, and Cheque No. 000021 dated 07/06/2020 for Rs.63,000/- drawn on Bank of Baroda stood dishonoured. It has further been averred that the defendants with malafide & dishonest intention got these cheques dishonoured. On presentation all the aforesaid said three Cheques were dishonoured by the defendants' Banks on the instructions of the defendants for stopping the payment of the said cheques.

9. Though the plaintiff's bank verbally informed him about the dishonour of the said cheques much later (after dishonour) but no details or memo and the bounced cheques (with reason of stop payment) were issued by bank for a long time due to corona pandemic situation, and bank memos with cheques were finally issued by the Bank much later to the plaintiff on 10/07/2020 and 09/07/2020, respectively.

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10. The plaint further averred that the plaintiff contacted the defendants but the defendants did not assign any reason for illegally stopping the payment of the cheques of rent.

11. It is further averred in plaint that thereafter plaintiff through his Advocate sent a legal notice dated 24/06/2020 (posted on 27/06/2020) to the defendants and were informed by way of aforesaid notice that they have not paid the rent for the last three months since April 2020 till June

2020 and they are in arrears of rent for consecutive three months which comes to a total sum of Rs.2,10,000/-.

12. The defendants were also notified that they have also been deducting Rs.8000/- from the plaintiff's rent every month since beginning towards TDS (tax deduction at source) but they have not issued/given certificates of deposit for Rs.23000/- (Rs.8000/-, Rs.8,000/- and Rs.7000/- being deducted as TDS for three months viz. January 2020, February 2020 and March 2020 respectively. Whenever the plaintiff requested defendants for those TDS certificates, they always made excuses on one or the other pretext but nothing has been received by the plaintiff.

13. By way of said notice, the defendants were finally informed that in view of the aforesaid default in payment of rent and non-observance and non-performance of the terms-conditions of the aforesaid lease deed, the plaintiff is well within his rights and page 7 of 69 entitled to terminate the Lease Deed forthwith in terms of and by exercising the Powers contained in Clause-22(B) of the Lease Deed dated 5th March 2019 and though no notice of termination due to non-payment of rent is required to be issued/given in terms of the lease deed, yet the plaintiff has issued the said present notice as an abundant caution.

14. Thus finally the plaintiff then (under the said notice) categorically & expressly terminated the lease deed dated 5th March 2019 (registered on 8th March 2020) read with Supplementary Lease Deed dated 17th January 2020 in respect to the suit property with immediate effect and defendants were asked to vacate and handover the complete vacant physical possession of the suit property to the plaintiff within 15 days from the receipt of the notice.

15. By way of said notice the plaintiff finally called upon the defendants to pay/make the entire payment of Rs.2,10,000/- towards up-to-date arrears of rent of three months i.e. for the month of April 2020 to June 2020, to clear/pay up-to-date electricity charges/bills (if not paid), and to vacate and handover the complete vacant physical possession of the suit property to the plaintiff within 15 (Fifteen) days from the receipt of the said notice, failing which they will also be liable and bound to pay page 8 of 69 penalty/damages/mesne, apart from use & occupation charges (equivalent to last monthly rent).

16. In the same notice, a Notice under Section 138 N.I Act was also sent by the plaintiff through his Advocate Mr. R.K. Sachdeva to the defendants in the same notice dated 24/06/2020. Since post offices were closed and even thereafter (after partial opening) there was no postal service at all for/in Mumbai & Delhi, the aforesaid legal notice was thus sent to the defendants through Courier, M/s Prime Track Pvt. Ltd. vide Receipt No. 12179178 and 12179179 dated 27/06/2020. However, status as per tracking report was not cleared, though the cover was stated to have been returned but no cover has been delivered back till date. Therefore the said notice was finally sent to the defendants through Email at their Email address prashant@quetzco.com & kapil@quetzco.com on 29/06/2020, (individually to director and AR Mr. Kapil separately) by the complainant's Counsel Mr. R.K. Sachdeva, Advocate from his Email address sachdevaassociates@gmail.com, which was duly received by the defendants. Copies/printout of the said emails along with certificate under Section 65-B of Evidence Act have been filed along with plaint.

17. But in spite of receipt of the said legal notice the defendants did not comply with the legal notice. Therefore, it has been averred by the plaintiff that the defendants are/were illegal and page 9 of 69 unauthorized occupants and enjoying the said premises without paying any money towards unauthorized use & occupation charges and without even clearing/paying the arrears of rent and other charges/dues & demands.

18. Further that since the defendants had not vacated and handed over the suit property (after termination of lease) and still occupying/enjoying the suit property, the plaintiff also deposited the cheques bearing No. Cheque bearing No. 000022 dated 07/07/2020 drawn on Bank of Baroda, Mumbai for a sum of Rs.63,000/- and Cheque bearing No. 000023 dated 07/08/2020 drawn on Bank of Baroda, Mumbai for a sum of Rs.63,000/- towards the payment of unauthorized use & occupation charges.

19. But both the said Cheques were also dishonoured and returned back to the plaintiff as unrealized and unpaid vide Memo dated 09/07/2020 and Memo dated 10/08/2020, respectively; with the endorsement "Payment Stopped by Drawer". Now the cheque for the payment of use & occupation charges for the month of September 2020 being Cheque No. 000024 dated 07/09/2020 drawn on Bank of Baroda, Mumbai for a sum of Rs.63,000/- was also dishonoured vide Memo dated 09/09/2020. The plaintiff is claiming the arrears of rent and use & occupation charges at the rate of Rs.70,000/- per month as per actual rate of rent excluding TDS. It has also been averred that the defendants have also not paid the page 10 of 69 electricity and water consumption charges for the last several months.

20. It has also been pleaded by the plaintiff that he has deposited/paid Rs.15,660/- towards electricity charges and Rs.1538/- towards water charges. The plaintiff has submitted that he is entitled to claim the said amount of Rs.17,198/- from the defendants.

21. The lease of the defendants in respect of the suit property has already come to an end, but neither the Defendants have vacated the suit property and handed over the same to the plaintiff, nor did they pay/clear the arrears of rent/use & occupation charges and other dues. Therefore, the defendant, as alleged, became an unauthorized occupier of the Suit Property and is liable to be evicted there from.

22. Since the Defendants did not vacate the Suit Property within the stipulated time of 15 days of the notice period i.e till 15/07/2020, they are also be liable and bound to pay penalty/damages/mense profit at the rate of Rs. 10,000/- (Rupees Ten Thousand Only) per day (in terms of Clause 11 of the lease deed), in addition to the use and occupation charges at the rate of Rs.70,000/- (Rupees Seventy Thousand only) per month (being the agreed rent) to the plaintiff in terms of Clause 11 of the lease deed with effect from 15/07/2020 till the possession is actually handed over/restored to the Plaintiff.

23. It has also been averred that besides that, the plaintiff is also entitled for the recovery of Rs.4,20,000/- from the defendants towards arrears of rent for three months i.e April, May & June 2020 and use & occupation charges for three months from July 2020 to September 2020.

24. It is further stated by plaintiff that though the plaintiff is entitled to claim the mesne profit/damages from the date of termination of lease but he is claiming the same from the date of institution of the present suit. It has also been averred that the defendant is also liable to pay the total arrears of the rent & use/occupation charges of six months amounting to Rs.4,20,000/- and for pendente-lite use & occupation charges.

25. Since the defendants have not paid electricity & water consumption charges of Rs.17,198/-, the defendants are also liable to pay the same to the plaintiff. Besides that, the defendants are also liable to deposit the TDS, which they have already deducted but not deposited it to the Income Tax Department. As such, the plaintiff has filed the present suit for recovery of possession, arrears of rent & use/occupation charges, pendant-lite use & occupation charges and mesne profits, mandatory injunction and permanent injunction against the defendants.

page 12 of 69 WRITTEN STATEMENT

26. Written statement has been filed on behalf of defendants. Defendants have stated that the suit of the plaintiff is not maintainable in the present form. That the plaintiff has not come with clean hands. It has been averred that the plaintiff has concealed material facts from this Court. The plaintiff has no cause of action file the present suit against the defendants. The plaintiff has filed the present suit against the defendants to grab the money from the defendants. The defendants have paid the full and final rent to the plaintiff and nothing is due towards the defendants of the plaintiff.

27. It is further stated that defendants never issued any cheque in favour of plaintiff towards discharge of any legal liability. The plaintiff has taken the alleged cheques from the defendants as security of rent amount. That the keys of the premises were handed over to the plaintiff on dated 28th March 2020 at the time of vacating the rented premises by the defendants, the plaintiff did not return the said cheques to the defendants by taking the plea that the same are not in his possession as he forgot that where he has kept the said cheques and also assured the defendants that he will not misuse the same and will return the same to the defendants as and when the same will be traced out by him.

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28. It is further stated in written statement that the real facts of the case are that the rent up to March 2020 was paid to the plaintiff, the Lockdown was declared 24/03/2020 and all the movements in the life was stood still no business or other activities were also completely on halt, there was no certainty when the same will restore. Therefore the situation was discussed by both the plaintiff & defendant it was decided that the advance security amount earlier paid will be adjusted towards notice period & agreed to forfeit the security deposit amount of Rs.1,40,000/- in lieu of full & final payment / settlement.

29. The remaining cheques given by the defendant to the plaintiff towards as security of rent amount w.e.f. April 2020 will be cancelled & will be handed over to the defendant, as the defendant had handed over the keys of the premises to plaintiff on dated 28 th March 2020 at the time of vacating the rented premises by the defendants, the defendant had handed over the vacant and peaceful possession to the plaintiff.

30. It has also been averred by the defendants that the plaintiff had sent on phone picture of one cheque of Rs.63,000/- bearing No.000024 dated 07/04/2020 of HDFC BANK to the defendant after cancelling the same & said that remaining cheques are not in his possession at present so he will send the same. Otherwise the remaining cheques will be treated as cancelled and after the page 14 of 69 discussion defendant went to Mumbai & stopped the remaining cheques.

31. The defendant also deposited the TDS amount to the concern government department on time to time and also handed over the TDS certificate to Plaintiff. That due to his dishonest intention, the plaintiff has not returned the said cheques to the defendants and presented the same with his bank to encash the same but when he did not succeed in his ill-will intention then to hide his wrong act and conduct he filed the case under section 138 of N.I. Act as well as the present suit against the defendants by taking false, fabricated and concocted plea.

32. Defendants have denied any liability to pay as claimed by the plaintiff and sought dismissal of the suit.

#### REPLICATION

33. Replication was filed to the Written Statement. Contrary averments were denied as false and incorrect, and the stand pleaded in the plaint was reiterated and reaffirmed as correct.

34. Upon completion of pleadings and vide order dated 05.06.2023, following issues were settled:

- (1)Whether the plaintiff is entitled to decree of recovery towards the arrears of rent to the tune of Rs.4,20,000/- from April 2020 to June 2020, and page 15 of 69 further occupation charges from July, 2020 till handing over the possession?OPP
- (2)Whether the possession was handed over to plaintiff on 30.09.2021 or prior to that?OPD
- (3)Whether the plaintiff is entitled to decree of recovery towards electricity and water charges to the tune of Rs.17,198/-?OPP
- (4)Whether the plaintiff is entitled to interest, if yes, at what rate and for which period?OPP
- (5)Relief.

35. PW1 Madhav Rajpal entered the witness box on 28.11.2024, and tendered his evidence by way of affidavit Ex.PW1/A and relied upon various documents Ex.PW1/1 to Ex.PW1/12 as under:

2. Copy of dishonoured cheques and returning memo from April 2020 to September 2020 Ex.PW1/2 (colly)
3. Original legal notice Ex.PW1/3,

4. Original courier receipts Ex.PW1/4, page 16 of 69
5. Internet tracking report Ex.PW1/5,
6. Copies of email printouts Ex.PW1/6,
7. Copy of screenshots of legal notice sent through Whatsapp Ex.PW1/7 (colly),
8. Copy of Pen Drive/CD Ex.PW1/8,
9. Copies of arrears of rent from period 01.04.2020 to 30.09.2021 Ex.PW1/9,
10. Copy of mode of proof of legal notice through email Ex.PW1/10,
11. Copy of bank statement of HDFC Bank w.e.f.

01.01.2020 to 31.12.2020 as directed by this Court vide order dated 21.12.2024,

12. Copy of coloured photographs of shop of plaintiff as presented by Ld counsel for defendants during cross examination of plaintiff on 10.03.2024 as Ex.PW1/11, page 17 of 69

13. Copy of supplementary lease deed dated 17.01.2020 as Ex.PW1/12.

14. Ex.PW-1/13: Plaintiff's affidavit/application dated 06.08.2024 (signed and identified).

36. Vide order dated 03.09.2024, written statement filed on behalf of defendants was taken off the record, and consequently the defence of the defendant was struck off. No evidence led by defendants. However, the defendants were permitted to cross examine the witness as per law.

37. The Ld. Counsels representing the respective parties have vehemently agued their cases and have filed detailed written submissions along with relied upon judgments. The arguments and submissions of the parties have been encapsulated below.

#### SUBMISSIONS OF THE PLAINTIFF:

38. It has been argued on behalf of the plaintiff as follows.

#### Ownership and Lease Creation

39. The plaintiff asserts unequivocal ownership of the property in question, supported by legal documentation confirming title. As the page 18 of 69 lawful owner, the plaintiff entered into a formally executed lease agreement with the defendant for commercial use of the premises.



40. This lease, concluded following negotiations, contains specific provisions concerning rent, term, security deposit, and other material covenants. The plaintiff further contends that the lease was established in full compliance with applicable property laws, with all requisite procedures--including registration and stamp duty--properly completed. The lease deed precisely defines the respective rights and obligations of both parties, thereby governing their interactions throughout the duration of the tenancy.

41. The plaintiff outlines the creation of the tenancy through a lease deed executed on 05/03/2019. Subsequently, a supplementary lease deed was entered into on 17/01/2020, revising the rent and confirming the terms agreed between the parties.

#### Security Deposit and Lock-in Periods

42. The plaintiff highlights that the lease agreement included a requirement and maintenance of a security deposit. The lease also incorporated lock-in periods, which were intended to ensure continued tenancy and enforce compliance with the agreed terms.

#### Rent Default and Dishonoured Cheques page 19 of 69

43. The plaintiff submits that the defendants defaulted on rent payments, as evidenced by dishonoured cheques for the period from April to June 2020. This default marked the beginning of the dispute regarding non-payment of rent and unauthorised occupancy.

#### Termination and Notice

44. Following the default in rent payments, the plaintiff issued a legal notice on 24/06/2020, terminating the lease. All payments and occupancy after March 2020 are stated to be unauthorised, and the lease was legally brought to an end in accordance with the notice.

#### Penal Rent and Charges for Use and Occupation

45. For the period of illegal occupation--from October 2020 to September 2021--the plaintiff claims penal rent and charges for unauthorised use and occupation. This claim is based on the terms of the agreement as well as applicable legal provisions.

#### Physical Possession and Court-Ordered Handover

46. The plaintiff ultimately received physical possession of the property after a court order on 30/09/2021, which marked the conclusion of the disputed occupancy.

|                 |                                        |
|-----------------|----------------------------------------|
| 05/03/2019      | Lease deed executed, tenancy created   |
| 17/01/2020      | Supplementary lease deed--rent revised |
| April-June 2020 | Cheques dishonoured; default begins    |
| 24/06/2020      | Legal notice served; lease terminated  |

Last accepted rent; all subsequent payments and March 2020 occupancy unauthorised 30/09/2021  
Plaintiff received possession after court order October 2020- Penal rent period for illegal occupation  
September 2021 Written submissions filed; calculation of total 20/01/2025 claim Judgments Cited  
and Legal Principles

47. The plaintiff relies on the below mentioned statute, and several legal authorities to support the case, including:

Transfer of Property Act, 1882 - Sections 107, 108, 111:

These provisions govern the creation, operation, and termination of lease agreements.

page 21 of 69 In reliance upon these statutory provisions, the plaintiff contends that the defendant's occupation after the last accepted rent in March 2020 was unauthorised, thereby attracting liability for penal rent as established in relevant judicial precedents such as *Anthony v. KC Ittoop & Sons*, (2000) 6 SCC 394 and *Ramanand & Ors. v. Dr. Girish Soni & Anr.*, 2020 SCC Online Del 635.

It has been argued that the authorities cited further strengthen the claim for compensation during the period of illegal occupation and clarify the rights of the lessor to recover both possession and monetary reliefs, including arrears, penal rent, and interest, in accordance with the legal principles governing lease termination and recovery. It has been stressed by the Ld. Counsel for the plaintiff that the said principles collectively support the plaintiff's prayer for a decree for possession and recovery of the total claim amount, alongside pendente lite and future interest as specified in the reliefs sought.

*Anthony v. KC Ittoop & Sons*, (2000) 6 SCC 394: This judgment addresses the rights and liabilities of lessors and lessees upon termination.

page 22 of 69 *Ramanand & Ors. v. Dr. Girish Soni & Anr.*, 2020 SCC Online Del 635: The case discusses consequences of unlawful occupation and entitlement to penal rent. *Energy Watchdog v. CERC*, (2017) 14 SCC 80: This decision interprets contractual obligations in the face of unforeseen circumstances.

*Raja Dhruv Dev Chand v. Raja Harmohinder Singh*, AIR 1968 SC 1024: The judgment clarifies legal principles relating to lease termination and recovery. *Atma Ram Properties P Ltd. v. Federal Motors P Ltd.*, (2005) 1 SCC 705: This authority supports the claim for penal rent during unauthorised use.

## Legal Reliefs and Prayer

48. The plaintiff seeks the following reliefs from the court:

Decree for possession of the property, (infructuous) Recovery of Rs. 81,05,240 (including rent, penal rent, utility dues, and interest), Pendente lite and future interest on the claimed amount, Litigation costs, Order for deficit court fees to be made up as per the actual date of possession.

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49. In support of the plaintiff's position, it is emphasized that the documentary evidence submitted--including bank statements, photographs of the shop, and the supplementary lease deed-- corroborates the sequence of events and the plaintiff's compliance with all contractual obligations.

50. The plaintiff maintains that the actions taken were in accordance with the lease terms and the directions of this Court, and that the defendants' failure to honor their commitments has resulted in monetary losses and continued hardship.

## SUBMISSIONS OF THE DEFENDANTS:

51. It has been argued and submitted on behalf of the defendants as follows:

### Maintainability and Cause of Action

52. The defendants challenge the maintainability of the present suit, alleging that the plaintiff lacks bona fides and has suppressed material facts from the court. They contend that the proceedings have been instituted not for genuine legal reasons, but rather for the purposes of harassment and extortion. According to the defendants, there is no outstanding liability on their part, as all rent payments have been made in full up to March 2020.

page 24 of 69 Issuance of Cheques

53. The defendants assert that all post-dated cheques provided to the plaintiff were intended solely as security and not for the discharge of monthly rental liabilities. They rely on the plaintiff's own cross-examination in support of this position. Additionally, the defendants claim that the cancelled cheques for the period April to June 2020 were never validly presented for payment. Any dishonor of these cheques, or subsequent action under the Negotiable Instruments Act, is characterized by the defendants as both misdirected and malicious.

## Lockdown and Possession

54. Following the declaration of the Covid-19 lockdown on March 24, 2020, the defendants state that business operations ceased and that they vacated the premises, handing over the keys on March 28, 2020. They further claim that the security or advance deposit was adjusted accordingly. In contrast, the plaintiff disputes the defendants' version, maintaining that possession was only obtained after a Court order dated September 30, 2021, when the premises was forcibly unlocked. The plaintiff has submitted video evidence of the lock breaking, together with affidavits under Section 65B of the Evidence Act. However, the defendants page 25 of 69 challenge the validity of this evidence, alleging editing and fabrication.

#### TDS and Utility Charges

55. The defendants state that all amounts deducted as Tax Deducted at Source (TDS) were deposited in a timely manner, with the corresponding certificates issued as required. With respect to utility charges, they assert that all dues for water and electricity were fully paid for the actual period of occupancy. The plaintiff's claim for outstanding utility bills to the amount of 17,198 is disputed by the defendants, who argue that there is no documentary evidence to substantiate this demand.

#### Legal Notice and Proceedings

56. The defendants further contend that the legal notice dated June 24, 2020, was never delivered to them. They state that neither postal nor courier records establish proper service of the notice, and that the plaintiff resorted to alternative service by email. Moreover, the defendants challenge the authenticity and sufficiency of the bank statements and other documentary evidence produced by the plaintiff in support of alleged arrears, asserting that such evidence is incomplete or selectively presented.

#### page 26 of 69 CA Calculation Sheet & Local Commissioner

57. The application for consideration of the CA-verified calculation sheet was opposed by the defendants on the grounds that it constitutes an abuse of process. They argue that the application is unilateral, not part of the record, and does not form part of the plaintiff's evidence. The defendants urged this Court to reject this application with costs, characterizing it as a delay tactic following the alleged handover of possession on March 28, 2020.

#### Penal Rent and Liability

58. The defendants deny any liability for penal rent or occupation charges after the alleged date of vacation, maintaining that possession was returned well before the period claimed by the plaintiff under the lease agreement. On this basis, they seek dismissal of the suit in its entirety, with costs.

#### Right to Participation Despite Striking Off of Written Statement

59. Although the written statement filed by the defendants was struck off, they assert their continued right to participate in the proceedings. The defendants maintain that they are entitled to

oppose interlocutory applications and to cross-examine witnesses. They have argued that the striking off the written statement does not page 27 of 69 deprive a defendant of the right to natural justice, nor does it render them mere spectators, as established by settled law.

60. Issues Framed by Court (Defendant's submission) Issue Onus Recovery of rent/arrears (April-June 2020), OPP occupation charges Date of actual handover of possession OPD Recovery of electricity and water charges OPP ( 17,198) Entitlement to interest, rate, and period OPP Relief to be granted -

61. Legal Authorities and Judgment Citations K.K. Velusamy v. N. Palaanisamy, (2011) 11 SCC 275

62. In the said case, the Hon'ble Supreme Court in K.K. Velusamy v. N. Palaanisamy (2011) recognized the inherent powers of the court under Section 151 of the Civil Procedure Code (CPC) to further the ends of justice, including the reopening of evidence in suitable cases. However, the Court emphasized that such powers should be exercised only in genuine circumstances of necessity and bona fides, and not as a matter of routine.

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63. Additionally, the judgment clarified that the admissibility and management of electronic records--such as recorded conversations and videos--are governed by Section 8 of the Evidence Act and the Information Technology Act. These records must be properly proved, with voice identification and assurance against tampering.

64. Importantly, the inherent powers under Section 151 CPC do not override express statutory provisions or specific remedies provided by law, and may only be invoked when the law is silent.

Sangram Singh v. Election Tribunal, Kotah (1955) AIR 1955 SC

65. In Sangram Singh v. Election Tribunal, Kotah (1955) AIR 1955 SC 425, The Hon'ble Supreme Court underscored the principle of natural justice, stating that no party should be condemned unheard. Ex parte orders should not bar future participation if a valid cause is shown.

66. The judgment further held that a decree cannot be automatically granted solely due to the absence of a written statement or procedural default. The court must always be satisfied that the case is proven on its merits.

67. While the Court has discretion to proceed ex parte at adjourned hearings, the right to cross-examine and raise objections page 29 of 69 to evidence remains fundamental under the CPC, unless specifically excluded.

Modula India v. Kamakshya Singh Deo (1988) 4 SCC 619

68. The decision in *Modula India v. Kamakshya Singh Deo* (1988) 4 SCC 619 clarified that striking off the defense for procedural default does not result in a complete deprivation of the defendant's right to cross-examine the plaintiff's witnesses or present arguments. Even without a written statement, the defendant can contest issues such as delivery of possession, but cannot introduce affirmative evidence supporting their own claims.

69. The Court stressed that limitations on defense participation should be proportionate to the default committed, and not serve as a punitive measure.

*Babbar Sewing Machine Co. v. Trilok Nath Mahajan* (1978) 4 SCC

70. In *Babbar Sewing Machine Co. v. Trilok Nath Mahajan* (1978) 4 SCC 188, the Supreme Court held that even when the defense is struck out for procedural default, the defendant retains the right to challenge the validity of the notice to quit and the essential requirements for the suit. The opportunity to contest fundamental aspects of the plaintiff's case remains available.

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71. Additional Authorities Briefly Noted:

*Padam Sen v. State of UP* AIR 1961 SC 218; *Manoharlal Chopra v. Seth Hiralal* AIR 1962 SC 527; *Ram Chand and Sons Sugar Mills Ltd. v. Kanhay Lal* AIR 1966 SC 1899

72. Rebuttal to Plaintiff's Case and Judgment Relied Rebuttal to *Kaushik Narsinhbhai Patel v. SJR Prime Corporation Pvt. Ltd.*, (2023) 6 SCC 78

73. Plaintiff had cited this judgment regarding mandatory timelines for filing written statement in commercial suits. Defendants deny its relevance. They submit that:

(1) written statement was struck off on procedural grounds, not for delay in commercial matters as in *Kaushik Patel*, (2) their current application under Section 151 CPC read with Section 45 Evidence Act is for forensic analysis, not for written statement or new defence, and (3) *Kaushik Patel* does not curtail inherent powers to aid discovery of truth or allow forensic examination when justice so requires. (4) The defendants, however, challenge the relevance of this citation to the present case. They contend that the written statement was struck out solely on procedural grounds, and not due to any delay relating to commercial matters as discussed in *Kaushik Patel*.

page 31 of 69 Forensic Examination Request Application under S.151 CPC & S.45 Evidence Act

74. Defendants stressed that the dispute over authorship of the word "CANCELLED" on the cheque used by plaintiff is central. They deny they wrote it, and request forensic handwriting analysis to scientifically establish authenticity, relying on Section 45 of the Evidence Act. Denial of such objective evidence would cause grave injustice and allow success on fabricated proof.

75. Furthermore, the defendants emphasize that their application was not for the restoration of the written statement or introduction of a new defense. Instead, their application under Section 151 of the Code of Civil Procedure (CPC) and Section 45 of the Evidence Act is specifically for seeking forensic analysis.

76. The defendants submit that the Kaushik Patel decision does not restrict this Court's inherent powers to facilitate the discovery of truth or to permit forensic examination when required in the interests of justice.

77. The application dated August 2025, already stands dismissed vide order dated 23.09.2025.

78. Brief overview of the submissions of the defendants.

Date/Event Plaintiff's Position Defendant's Position Legal Principle /Judgme nt Cited page 32 of 69  
Up to Mar Rent paid, lease Rent paid, all dues -

| 2020                     | performed                                                    | cleared,<br>settlement<br>lockdown                               | agreed<br>post- |                                             |
|--------------------------|--------------------------------------------------------------|------------------------------------------------------------------|-----------------|---------------------------------------------|
| 24.03.2020               | Lockdown starts, business affected, default begins           | Lockdown starts, rent parties adjustment/settlement              | discuss         | -                                           |
| 28.03.2020               | Defendant claims keys/possession handed over                 | Plaintiff disputes, claims possession only per court order later |                 | Modula India (cross-exam rights)            |
| April-June 2020          | Cheques for rent dishonoured; rent/arrears accrue            | Cheques cancelled, not penal issued for liability; not presented | legal           | K.K. Velusamy (S.151 CPC, reopenin g)       |
| 24.06.2020 /29.06.2020   | Legal notice given, lease terminated                         | Notice received/service proven                                   | not not         | Sangram Singh (natural justice, procedur e) |
| 30.09.2021 (possession ) | Handover after court order, supported by video and affidavit | Defendant disputes court's record, questions authenticity        |                 | Babbar Sewing (challeng e essential notice) |

79. It has been stressed by the Ld. Counsels for the defendants that even when procedural defaults occur (non-filing of WS, non- payment), the trial court must adjudicate on evidence, with cross-examination allowed and no mechanical decree for plaintiff. It is page 33 of 69 pertinent to observe that the said proposition is no more res-integra. The defendants were duly permitted to cross examine the witness as per law.

80. In respect of the principles of Natural justice and participation rights, the Ld. Counsel for the defendants have argued that all parties should have reasonable opportunity to present their case except for explicitly forfeited rights; court must exercise discretion and avoid undue penalization.

81. In regards to the issue pertaining to admissibility of electronic evidence, the videos, electronic records, and conversations can be admitted but require substantiation as per Evidence Act and IT Act, especially where facts are disputed.

82. It has also been argued on behalf of the defendants that claims for arrears, penal rent, use and occupation, and recovery of possession must rest on provable facts and compliance with lease and statutory terms.

83. I have heard final arguments and perused the record. The Ld. Counsels for the parties have presented their cases diligently, and have assisted this Court to the best of the abilities, along with filing detailed written submissions, citations.

#### OBSERVATIONS & REASONING:

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84. At this juncture, it is necessary to encapsulate the brief facts and developments of the present suit.

#### Chronological Record of Court Proceedings

85. The following table sets out a chronological summary of the key proceedings and orders in the case, highlighting important developments at each stage.

**Date Proceedings/Order Description** A new suit was received and checked. Summons were 09.10.2020 issued, and the defendant was restrained from creating any third-party interest.

The defendant sought additional time to file a written 12.01.2021 statement. The matter was listed for further proceedings. Dispute over possession was raised. The case was listed for 20.11.2021 further proceedings on 24/02/2022.

The defendant filed a written statement, and a copy was 24.02.2022 supplied. The matter was listed for further proceedings. The status of the written statement was discussed. The 27.07.2022 replication was to be filed, affidavits were ordered, and the matter listed for framing issues.



Additional time was sought to file the replication. The 28.09.2022 matter was listed for completion of pleadings. The written statement was taken on record; replication and 18.01.2023 affidavits were ordered. The matter was listed for framing issues.

Replication was filed, affidavits were ordered, and the 24.03.2023 matter was listed for framing issues on 06/05/2023.

page 35 of 69 The plaintiff engaged new counsel and requested time for 06.05.2023 filing vakalatnama and affidavit. The matter was listed for further proceedings.

Pleadings were completed and issues were framed. The 05.06.2023 matter was listed for Plaintiff's Evidence (PE). The file was received by transfer. An order for the next date 11.09.2023 was passed, listing the matter for a fixed purpose. The plaintiff's vakalatnama was taken on record. A Local 07.11.2023 Commissioner was appointed to record evidence. Complaints regarding delay were noted. The Local Commissioner could not record evidence, so costs were 05.03.2024 imposed on the defendant. Consecutive dates were fixed for Plaintiff's and Defendant's Evidence (PE/DE). The Local Commissioner's report was placed on record and compliance with costs was noted. Further directions for 14.05.2024 recording evidence were given, scheduling hearings every Tuesday and Thursday starting 07.09.2024. An application under Order 6 Rule 15(4) and Section 151 of 03.09.2024 CPC was moved. The written statement and defense were struck off, and the Local Commissioner was notified. The Local Commissioner's report was placed on record. The defendant's vakalatnama was taken, cross-examination 18.10.2024 opportunity was provided, and the Local Commissioner's fee was imposed.

The defendant's application for directing the plaintiff to 21.12.2024 furnish a bank statement was allowed.

The plaintiff filed a statement of bank account. Evidence 29.01.2025 before the Local Commissioner was directed for 13/02/2025, and the next hearing was fixed.

The application for placing the Supplementary Lease Deed 14.02.2025 on record was allowed, and further evidence before the Local Commissioner was ordered.

Supplementary examination of PW1 was conducted. The 11.03.2025 Local Commissioner was directed to conclude evidence. The Local Commissioner's report was placed on record, 25.03.2025 Plaintiff's Evidence was concluded, and the matter was fixed for final arguments.

page 36 of 69 Final arguments were scheduled. An application under 08.04.2025 Section 151 CPC for a 65B certificate was filed.

Adjournment was granted with costs.

The hearing was adjourned due to the judge's leave, with the 07.05.2025 next date fixed.

Written submissions were filed, part arguments were heard, 20.05.2025 and further arguments were scheduled for 08/07/2025. An application for a calculation sheet and appointment of 24.05.2025 Local Commissioner was placed on record, and the matter was listed for consideration.

The defendant sought time to reply to the calculation sheet 26.05.2025 application. The next date was fixed for further proceedings. Summons were served under proceedings initiated under NI Act in Court. The reply to the Section 151 CPC application 08.07.2025 was submitted, arguments were heard, and orders were reserved.

Reply and written arguments were filed regarding the 20.08.2025 Section 151 CPC application and forensic examination application.

Arguments were presented on the forensic analysis of a 23.09.2025 cheque. Final arguments were completed, and the next date was scheduled for judgment.

Final arguments were heard. The matter was listed for 27.09.2025 clarifications or judgment.

Additional written submissions were filed on behalf of the 10.10.2025 defendants, and a date was set for clarifications. No time was available for the hearing. The next date was 14.10.2025 fixed for clarifications or judgment.

Due to a heavy board, no time was left for the hearing. The 18.10.2025 next date was fixed for clarifications or judgment. Matter was adjourned for 27.10.2025.

## 86. TABLE OF PROCEEDINGS, EXHIBITS & KEY PARTICULARS IN REGARD TO THE EVIDENCE PROCEEDINGS:

page 37 of 69 Parties Present Details / Evidence Date Event / Proceeding / Relevant Markings Orders Order appointing Appointment of Local 07.11.2023 LC to record Court order Commissioner ("LC") evidence Order to appear before Court 18.10.2024 LC on 14.11.2024 for -

directions evidence Adjournment due Scheduled first LC to defendant's 14.11.2024 evidence date counsel's medical -

|            |                     |                  |             |
|------------|---------------------|------------------|-------------|
|            | (adjourned)         | emergency;       | no          |
|            |                     | costs imposed    |             |
|            |                     | Request          | by          |
|            |                     | defendant's      |             |
|            | Evidence and cross- |                  | LC present: |
| 28.11.2024 | exam of PW-1        | counsel to defer | Himanshu    |
|            | postponed           | cross-exam for   | Yadav       |
|            |                     | document         |             |
|            |                     | production       |             |

|                   |                     |            |                          |
|-------------------|---------------------|------------|--------------------------|
|                   |                     | Mark       | PW-1/2:                  |
|                   |                     | Cheque     | no.                      |
|                   |                     | 000024     | dated Various            |
| 28.11.2024        | Cross-exam of PW-1  | 07.04.2020 | for admissions in        |
|                   | partly conducted    |            | 63,000 (shown cross-exam |
|                   |                     |            | to witness; claim        |
|                   |                     |            | disputed)                |
| Exhibit P-1/11:   |                     |            |                          |
| Photograph        | of                  |            |                          |
|                   | LC notes objections |            |                          |
| shop (objected to |                     |            |                          |
| by plaintiff)     |                     |            |                          |

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Exhibit PW-1/12  
OSR:  
Supplementary  
Lease Deed dated Plaintiff produced  
17.01.2020 original  
(objected late  
production by  
defendant)  
Pen-drive marked  
as Mark PW-1/8:  
Sealed evidence  
containing 3  
Played before witness  
videos  
documenting lock  
breaking and  
possession  
Exhibit PW-1/13:  
Application and  
Identified by plaintiff  
affidavit dated  
06.08.2024  
Content  
objections and  
detailed Multiple points disputed  
questioning by  
both counsels  
Discussions of  
business activity,  
- Rent up to March 2020 possession,

Summary Points admitted by plaintiff as agreement paid by defendant chronology, cheque dishonors (six cheques) Supplementary Order for documents on plaintiff's recording 29.01.2025 -

accounts placed on evidence  
record 13.02.2025

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Application for  
de-sealing  
envelope (Pen-  
drive, Mark  
Matter for further cross PW-1/8) and Orders

13.02.2025 of PW-1 production of recorded  
Supplementary  
Lease (deferred  
for court  
permission)  
Application u/S  
151 CPC by  
VC hearing and plaintiff for  
permission for exhibition admitting and Application  
14.02.2025 of Supplementary Lease exhibiting allowed by  
District Judge  
Deed Supplementary  
Lease Deed dated  
17.01.2020

Direction:  
Plaintiff to record  
supplementary  
examination-in-  
chief before LC  
regarding above  
document

LC directed to expedite  
evidence filing

Scheduled LC session Adjourned,  
07.03.2025 (adjourned due to evidence fixed for Orders for  
illness) 10.03.2025 next session  
PW-1 (Madhav  
Rajpal) cross- Present:  
Conclusion of Plaintiff's examined and Counsels for  
10.03.2025 Evidence discharged; both parties  
evidence of and LC  
plaintiff closed

|                  |                    |                                                       |                    |                  |
|------------------|--------------------|-------------------------------------------------------|--------------------|------------------|
|                  | Re-sealing<br>Mark | PW-1/8                                                | Pen-drive<br>after |                  |
| Exhibits         | /                  | viewing; videos (3)                                   |                    | Diet/LC fees as  |
| Proceedings      |                    | played and cross-exam                                 |                    | per 07.11.2023   |
|                  |                    | on content, context, and<br>document production       |                    | order            |
|                  |                    | Questions about original<br>keys, purchase bills, and |                    |                  |
| Exhibit Disputes |                    | lock installation videos;                             |                    | Contentious      |
|                  |                    | multiple points objected                              |                    | points in cross- |
|                  |                    | or denied by plaintiff<br>and cross-examined          |                    | exam             |

Hearing scheduled after LC ordered to file 11.03.2025 LC sessions, for further report by next -  
court consideration date Detailed Observations by Local Commissioner

87. The evidence proceedings in this case commenced with the appointment of the Local Commissioner (LC) by the Court on 07.11.2023, specifically tasked to record and supervise the evidentiary process.

88. Pursuant to the order dated 18.10.2024, the parties were directed to appear before the LC on 14.11.2024; however, the session was adjourned due to the defendant's Counsel's medical emergency, with no costs imposed.

89. The matter resumed on 28.11.2024, when the evidence and cross-examination of PW-1 (the plaintiff, Madhav Rajpal) was page 41 of 69 scheduled but again saw only partial progress because the defendant's Counsel requested a further adjournment to produce additional documents.

90. On the same day, significant evidentiary steps were taken, including the presentation of Mark PW-1/2 (Cheque no. 000024 dated 07.04.2020 for Rs.63,000/- with the claim around its cancellation and dishonor contested). Exhibit PW-1/11 (photograph of the disputed shop, objected to by the plaintiff for mode of presentation), Exhibit PW-1/12 OSR (original supplementary lease deed dated 17.01.2020, which faced timing objections from the defendant), and the Pen-drive marked as PW-1/8 (containing three videos documenting the physical act of lock breaking and possession, played in the presence of the parties and then re-sealed, with Section 65B certification).

91. Further, Exhibit PW-1/13 was identified by the plaintiff. Both sides raised extensive objections and undertook detailed questioning on each step, creating a meticulous evidentiary record.

92. On 28.11.2024, a summary of admissions was also noted: the plaintiff confirmed rent was paid up to March 2020 by the defendant, while numerous business, possession, and cheque dishonor disputes persisted.

93. Subsequently, on 29.01.2025, supplementary documents regarding the plaintiff's accounts were placed on record pursuant to page 42 of 69 Court order, and evidence recording was fixed again for 13.02.2025. On that date, cross-examination of PW-1 was again deferred at the request of both parties, with applications pending for de-sealing the Pen-drive and admitting the supplementary lease.

94. This led to a video-conference hearing on 14.02.2025, where this Court--addressing an application under Section 151 CPC-- permitted the supplementary lease deed dated 17.01.2020 to be formally exhibited and ordered a supplementary examination-in- chief of PW-1 before the LC, further directing the LC to expedite the process.

95. Accordingly, another scheduled session on 07.03.2025 was adjourned due to the ill-health of Counsel, so final evidence recording occurred on 10.03.2025.

96. On 10.03.2025, PW-1 was cross-examined and discharged; the plaintiff's evidence was closed, all contested exhibits and electronic evidence (Pen-drive, videos) were formally dealt with as per procedure.

97. It is observed that throughout there were numerous disputes over exhibit authentication, production of original keys and utility bills, and queries about the absence of certain videos or supporting documents for the installation of new locks. These objections and disputed factual details were consistently preserved for further judicial consideration.

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98. The matter was then put up before the Court for further consideration on 11.03.2025, with the LC ordered to file his report by the next date. Overall, the proceedings documented each evidentiary step with precision, allowing counsel on both sides to preserve objections, test the evidence, and build a comprehensive record of both documentary and oral proof for judicial determination.

#### Adjournments and Delays

99. Throughout the proceedings, scheduled dates for recording evidence were postponed multiple times. These adjournments arose from requests by both parties' counsels, most commonly due to emergencies or illness. Each postponement was formally recorded along with the underlying reasons, and the Court ensured that no costs were imposed on either side in connection with these delays.

#### Evidence Handling

100. The Ld. Court Commissioner gave significant attention to the treatment and authentication of evidence. The Pen-drive, marked as Exhibit PW-1/8, was handled strictly according to procedure: it was de-sealed for playback in the presence of the parties and the Court, then re-sealed after viewing. All steps concerning its authenticity page 44 of 69 and handling were meticulously documented in the Local Commissioner's notes.

101. The Supplementary Lease Deed, which was initially omitted from the record, was subsequently allowed to be taken on evidence following an application under Section 151 of the Civil Procedure Code. The Court's order dated 14.02.2025 permitted its formal exhibition, thereby ensuring that the document became part of the evidentiary record.

#### Exhibits and Cross-Examination

102. During the proceedings, PW-1 was cross-examined extensively on several key points. These included questions about the lease terms, the exact date of possession, details of business activity during the Covid lockdown period, issues involving dishonored cheques, the method of returning the security deposit, and the production of original and supporting documents for disputed facts. Multiple originals and copies were requested and scrutinized to clarify the contested matters.

103. The defendants raised formal disputes regarding the timing, authenticity, and completeness of the documentary evidence and exhibits. Specific objections were recorded against the photographs (Exhibit PW-1/11) and the video exhibits. These objections were page 45 of 69 carefully documented to ensure that all disputed issues would be available for further judicial review.

**Exhibit and Annexure References** Ex.PW-1/11: Photograph of disputed shop (objected by plaintiff's side on mode of production).

Ex.PW-1/12 OSR: Supplementary Lease Deed dated 17.01.2020; admitted as original, referenced during examination and application under Section 151 CPC. Ex.PW-1/13: Plaintiff's affidavit/application dated 06.08.2024 (signed and identified).

Mark PW-1/2: Cheque no. 000024 dated 07.04.2020; dispute over cancellation and presentation, cross-examined against NI Act proceedings.

Mark PW-1/8: Pen-drive evidence containing three video files ("lock breaking" and shop possession timeline).

#### Critical Questions and Points Raised

104. During the cross-examination, several specific aspects of the possession and related evidence were rigorously explored. The examination delved into the precise manner in which possession page 46 of 69 was taken, including detailed inquiries about the use of lock-cutting tools and keys to access the premises.

105. The visibility of shop numbers and neighboring signage at the time of possession was also scrutinized, alongside questions regarding the procurement and billing for new locks installed after entry.

106. Objections were raised repeatedly concerning the timing and authenticity of the evidence presented, with particular emphasis on the video exhibits. The admissibility of these electronic records was questioned, especially regarding compliance with the requirements set out in the Indian Evidence Act, including Section 65-B, which pertains to electronic records.

107. The Supplementary Lease Deed was exhibited at a later stage in the proceedings. Its late introduction was permitted due to its prior mention in the pleadings and supporting affidavits. This Court ensured that the defendants were given a fair opportunity for cross-examination regarding this document, and specific directions were issued to expedite the process and maintain procedural fairness.

108. Exhibit-wise Summary of Plaintiff's Evidence

| S. No. | Description                | Exhibit No. | Key Details / Context                                                                                          |
|--------|----------------------------|-------------|----------------------------------------------------------------------------------------------------------------|
| 1      | Copy of lease deed         | Ex.PW1/1    | Registered lease deed, deed basis of tenancy page 47 of 69                                                     |
| 2      | Copies of Ex.PW1/2 (colly) |             | Six cheques for dishonoured disputed rent; bank's cheques and memo of dishonour returning memos (Apr-Sep 2020) |
| 3      | Original legal notice      | Ex.PW1/3    | Formal notice of notice termination, arrears demand dated 24.06.2020                                           |
| 4      | Original courier           | Ex.PW1/4    | Shows dispatch/service receipts of legal notice                                                                |
| 5      | Internet tracking          | Ex.PW1/5    | Tracking status for report courier delivery                                                                    |
| 6      | Copies of email            | Ex.PW1/6    | Email sent to printouts defendants serving notice                                                              |
| 7      | Copy of Ex.PW1/7 (colly)   |             | WhatsApp delivery screenshots of evidence legal notice sent through Whatsapp                                   |
| 8      | Copy of Pen                | Ex.PW1/8    | Electronic evidence:                                                                                           |

|    | Drive/CD                                                 |           | videos of lock breaking/possession                          |
|----|----------------------------------------------------------|-----------|-------------------------------------------------------------|
| 9  | Copies of arrears chart for rent (01.04.2020-30.09.2021) | Ex.PW1/9  | Calculation of dues and unpaid charges                      |
| 10 | Copy of proof of legal notice sent via email             | Ex.PW1/10 | Technical back-up to prove service of notice                |
| 11 | Copy of HDFC Bank statement (01.01.2020-31.12.2020)      | Ex.PW1/11 | Court-directed disclosure of rent payments and transactions |
| 12 | Coloured photographs of shop (cross-exam by defendant)   | Ex.PW1/12 | Visual record of property presented in evidence session     |



supplementary  
lease deed dated  
17.01.2020

produced as original in  
supplementary  
examination

### Context and Evidence Handling in Proceedings

109. Exhibits were formally marked and relied on at multiple evidence sessions before the Local Commissioner, with dates falling between 28.11.2024 and 10.03.2025 for marking, viewing, cross-examining, and dealing with objections.

110. Pen-drive/CD (Ex.PW1/8) was sealed, de-sealed for playback, then re-sealed, following Section 65B certification requirements for electronic evidence.

111. Photographs (Ex.PW1/12) and supplementary lease deed (Ex.PW1/13) were examined and disputed for late production and content authenticity; these issues were discussed during cross-exam of PW-1. This Court is inclined to give weightage to the said exhibits, as the plaintiff has discharged his burden and onus in accordance with the law.

112. HDFC Bank statements (Ex.PW1/11) were produced in compliance with an order of this Court to prove the flow and receipt page 49 of 69 of rent, cheque payments, and bank transactions during the disputed period.

### Material and Legal Significance

113. It is observed that Each exhibit corroborates specific parts of the plaintiff's claim, including the creation and terms of tenancy (Ex.PW1/1, Ex.PW1/12), proof of payment default and dishonour (Ex.PW1/2 Colly), notice and service (Ex.PW1/3-Ex.PW1/7, Ex.PW1/10), and evidence of possession by plaintiff (Ex.PW1/8, Ex.PW1/12).

### Disputed Originals and Late Production

114. Key exhibits, like the Supplementary Lease Deed (Ex.PW-1/12 OSR), were produced late and admitted only after an order under Section 151 CPC, permitting their exhibition and supplementary examination-in-chief by the plaintiff. Defendants openly objected to timing and manner of production, raising questions about procedural fairness and possible prejudice. The objections raised by the defendant remain unsubstantiated.

### Cross-examination on Crucial Points page 50 of 69

115. The cross-examination delved into details of rent payments, cheque dishonours, physical possession, use of substitute locks, and conduct during Covid lockdown. The authenticity of

electronic and photographic exhibits was contested, with emphasis on visible shop signage, original keys, and documentary proof for utilities and occupancy.

116. It is imperative to observe that the detailed factual questions are vital for resolving claims about the actual date of possession and the lawfulness of occupation.

117. The evidence proceedings were broadly regular and thorough, with fair scope for cross-examination and objection. However, critical factual disputes--particularly regarding the timing and validity of possession handover, authenticity of produced exhibits, and the veracity of key documents, which were objected to are supported by a combination of direct oral testimony, documentary evidence, and electronic proof.

## DECISION

118. At this juncture, it is imperative to go back the basic tenets of the law.

Essentials of pleadings A pleading should page 51 of 69

(a) state material facts and not the evidence on which the party seeks to rely on,

(b) state such facts in a concise form, and

(c) provide all particulars where they are required. These conditions are contained in Order VI Rule 2 of the CPC, and the requirement to state all material facts has time and again been emphasized by the Supreme Court. For instance, in *Udhav Singh v Madhav Rao Scindia* AIR 1976 SC 744, wherein it was clarified that all the primary facts which must be proved at the trial by a party to establish the existence of a cause of action or his defence, are material facts.

The failure to disclose material facts can even attract the grave consequence of the suit being dismissed in its entirety, making the observations of the Supreme Court in *Virender Nath v. Satpal Singh* 2007 (3) SCC 617 pivotal:

"...it is however absolutely essential that all basic and primary facts which must be proved at the trial by the party to establish existence of a cause of action or defence are material facts and must be stated in the pleadings by the party."

UDHAV SINGH V. MADHAV RAO SCINDIA AIR 1976 SUPREME COURT 744 page 52 of 69 "28. All the primary facts which must be proved at the trial by a party to establish the existence of a cause of action or his defence, are "material facts". In the context of a charge of corrupt practice, "material facts" would mean all the basic facts constituting the ingredients of the particular corrupt practice alleged, which the petitioner is bound to substantiate before he can succeed on that charge. Whether in an election-petition, a particular fact is material or not, and as such required to be pleaded is a question which depends on the nature of the charge leveled, the ground relied upon and the special circumstances of the case. In short, all those facts which are essential to clothe the petitioner with a

complete cause of action, are "material facts" which must be pleaded and failure to plead even a single material fact amounts to disobedience of the mandate of sec. 83(1)(a). "Particulars", on the other hand, are "the details of the case set up by the party". "Material particulars" within the contemplation of clause (b) of s. 83(i) would therefore mean all the details which are necessary to amplify, refine and embellish the material facts already pleaded in the petition in compliance with the requirements of clause (a). Particulars serve the purpose of finishing touches to the basic contours of a picture already drawn, to make it full, more detailed and more informative.

29. The distinction between material facts and material particulars"

was pointed out by this Court in several cases, three of which have page 53 of 69 been cited at the bar. It is not necessary to refer to all of them. It will be sufficient to close the discussion by extracting what A. N. Ray J. (as he then was) said on this point in *Hardwari Lals* case (*supra*):

"It is therefore vital that the corrupt practice charged against the respondent should be a full and complete statement of material facts to clothe the petitioner with a complete cause of action and to give an equal and full opportunity to the respondent to meet the case and to defend the charges. Merely, alleging that the respondent obtained or procured or attempted to obtain or procure assistance are extracting words from the statute which will have no meaning unless and until facts are stated to show what that assistance is and how the prospect of election is furthered by such assistance. In the present case, it was not even alleged that the assistance obtained or procured was other than the giving of vote. It was said by counsel for the respondent that because the statute did not render the giving of vote a corrupt practice the words "any assistance" were full statement of material fact. The submission is fallacious for the simple reason that the manner of assistance, the measure of assistance are all various aspects of fact to clothe the petition with a cause of action which will call for an answer. Material facts are facts which if established would give the petitioner the relief asked for. If the respondent had not appeared, could the court have given a page 54 of 69 verdict in favour of the election petitioner. The answer is in the negative because the allegations in the petition did not disclose any cause of action."

This Court seeks to mention the essentials of a Contract/ Agreement enforceable by the law;

The Indian Contract Act of 1872 governs contracts in India and outlines the basic elements and general rules of a contract. A contract is legally binding if it meets the following essentials:

Offer and acceptance: One party makes an offer, and the other party accepts it. Acceptance can be express or implied. Consideration: There must be something of value in return, or "quid pro quo". The consideration must be lawful, and not illegal, immoral, or against public policy. Capacity: The parties must be legally competent to enter into the contract. This means they must be of the age of majority, have a sound mind, and not be disqualified by law. Intention to create legal relations: The

parties must intend for the agreement to be legally binding and create legal obligations.

Certainty of meaning: All parties must agree on the same thing in the same sense.

Lawful object: The contract must have a lawful object.

page 55 of 69 Possibility of performance: The contract must be possible to perform.

Legal formalities: The contract can be entered into in writing or orally Facta probanda or the facts required to be proved, are the foundational elements of any legal claim or defense. These are the material facts upon which a party bases their case. In simple terms, these are the "what" of the case ie the core allegations or assertions that a party needs to establish to succeed. For example, based on the facts of the present case, in a breach of contract claim, the facta probanda might include:

The existence of a contract.

The obligations stipulated by the contract. The breach of those obligations by the opposing party. The resultant damages incurred due to the breach. The facts are to be proved in accordance with the provisions of The Indian Evidence Act (as amended upto date/ BSA 2023) which have been reproduced herein;

The Indian Evidence Act, 1872 /(Replaced with BSA 2023) Relevant Provisions:

101. Burden of proof.

page 56 of 69 Whoever desires any Court to give judgment as to any legal right or liability dependent on the existence of facts which he asserts, must prove that those facts exist. When a person is bound to prove the existence of any fact, it is said that the burden of proof lies on that person.

Illustrations

(a) A desires a Court to give judgment that B shall be punished for a crime which A says B has committed. A must prove that B has committed the crime.

(b) A desires a Court to give judgement that he is entitled to certain land in the possession of B, by reason of facts which he asserts and which B denies, to be true. A must prove the existence of those facts.

102. On whom burden of proof lies.

The burden of proof in a suit or proceeding lies on that person who would fail if no evidence at all were given on either side. Illustrations

(a) A sues B for land of which B is in possession, and which, as A asserts, was left to A by the will of C, B's father. If no evidence were given on either side, B would be entitled to retain his possession. Therefore the burden of proof is on A.

### 103. Burden of proof as to any particular fact.

page 57 of 69 The burden of proof as to any particular fact lies on that person who wishes the Court to believe in its existence, unless it is provided by any law that the proof of that fact shall lie on any particular person.

### 104. Burden of proving fact to be proved to make evidence admissible.

The burden of proving any fact necessary to be proved in order to enable any person to give evidence of any other fact is on the person who wishes to give such evidence.

#### Illustrations

(a) A wishes to prove a dying declaration by B. A must prove B's death.

(b) A wishes to prove, by secondary evidence, the contents of a lost document. A must prove that the document has been lost.

### 106. Burden of proving fact especially within knowledge. When any fact is especially within the knowledge of any person, the burden of proving that fact is upon him.

#### Illustrations

(a) When a person does an act with some intention other than that which the character and circumstances of the act suggest, the burden of proving that intention is upon him.

(b) A is charged with travelling in a railway without a ticket. The burden of proving that he had a ticket is on him.

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109. Burden of proof as to relationship in the cases of partners, landlord and tenant, principal and agent. When the question is whether persons are partners, landlord and tenant, or principal and agent, and it has been shown that they have been acting as such, the burden of proving that they do not stand, or have ceased to stand, to each other in those relationships respectively, is on the person who affirms it.

### 110. Burden of proof as to ownership.

When the question is whether any person is owner of anything of which he is shown to be in possession, the burden of proving that he is not the owner is on the person who affirms that he is not the owner.

111. Proof of good faith in transactions where one party is in relation of active confidence.

119. Where there is a question as to the good faith of a transaction between parties, one of whom stands to the other in a position of active confidence, the burden of proving the good faith of the transaction is on the party who is in a position of active confidence.

120. It is apposite to observe that the facts, circumstances, pleadings, evidence and the submissions strongly support the plaintiff's case which remain unrebutted.

121. The submissions rooted in statutory and contract law, demonstrates sustained breach by defendants, and are supported by page 59 of 69 documentary records and legal precedents. The plaintiff underscores that each relief claimed is justified by the established facts and supported by the cited judgments, which collectively confirm entitlement to possession, recovery of outstanding dues, and penal rent for the period of unauthorized occupation.

122. The reliefs sought are consistent with both the terms of the lease and the applicable legal provisions, further strengthened by the absence of any evidence or defense from the defendants, whose written statement was struck off by the Court.

123. Building upon these statutory foundations, the plaintiff's argument is further supported by judicial precedents such as *Anthony v. KC Ittoop & Sons* (2000) 6 SCC 394 and *Atma Ram Properties (P) Ltd. v. Federal Motors (P) Ltd.* (2005) 1 SCC 705, which reinforce the entitlement to penal rent for unlawful occupation after lease expiry. In addition, the decision in *Ramanand & Ors. v. Dr. Girish Soni & Anr.*, (2020) 2 RCR (Rent) 209 (Delhi) elaborates on the consequences faced by a defendant remaining in possession without legal right, while *Raja Dhruv Dev Chand v. Raja Harmohinder Singh*, (1968) 3 SCR 339 : AIR 1968 SC 1024 clarifies the lessor's rights in seeking recovery of possession and related dues. The cited authorities collectively underscore the legal basis for the plaintiff's claim to compensation, including penal rent, utility dues, interest.

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124. Striking off the defence and failure to negate key allegations notably weaken the case of the defendants. The evidence tilts the merits of the matter in favor of the plaintiff, and against the defendants.

125. Thus, based on the written submissions and evidentiary contradictions detailed in the document, the plaintiff's case appears legally and factually well-founded, entitling him to the reliefs as sought and prayed.

126. After a careful perusal of the facts, circumstances of the matter coupled with the pleadings, evidence, submissions and the corresponding law relied upon by the parties, this Court is inclined to give its issue wise findings as follows. Issue No.(1) Whether the plaintiff is entitled to decree of recovery towards the arrears of rent to the tune of Rs.4,20,000/- from April 2020 to June 2020, and further occupation charges from July, 2020 till handing over the possession? OPP

127. Upon careful consideration of the pleadings, evidence, and submissions, it is evident that the plaintiff's has discharged its onus. The defendants' written statement has been struck off, and there is no cogent evidence to negate the plaintiff's claims regarding arrears of rent and subsequent occupation charges. The documentary record and pleadings substantiate the plaintiff's entitlement to recover arrears of rent amounting to Rs.4,20,000/- for the period from April page 61 of 69 2020 to June 2020. Furthermore, as the defendants continued to occupy the premises beyond the lease period without legal right, the plaintiff is also entitled to occupation charges (penal rent) from July 2020 until the actual handing over of possession. This is in consonance with established legal principles and judicial precedents, including Anthony v. KC Ittoop & Sons (supra) and Atma Ram Properties P Ltd. v. Federal Motors P Ltd (supra). , which affirm the lessor's right to compensation for unauthorised occupation after lease expiry.

128. In light of the above, the issue is decided in favour of the plaintiff. The plaintiff is entitled to a decree for recovery of Rs.4,20,000/- as arrears of rent for April 2020 to June 2020, and further occupation charges for the period from July 2020 until possession was handed back, in accordance with the terms of the lease and the applicable law.

129. The relief qua possession is infructuous as the plaintiff is already in possession.

Issue No.(2) Whether the possession was handed over to plaintiff on 30.09.2021 or prior to that? OPD

130. Upon a detailed evaluation of the pleadings, documentary evidence, and submissions made by both parties, the Court notes that the question of the actual date of handing over possession is page 62 of 69 central to determining the plaintiff's entitlement to occupation charges and other consequential reliefs. The plaintiff has consistently asserted that the defendants continued to occupy the premises beyond the expiry of the lease and that possession was not handed over until 30/09/2021. This claim finds support in the absence of any contrary evidence or documentary proof produced by the defendants, whose written statement has been struck off, and who have not rebutted the plaintiff's assertions.

131. The law is well-settled that where the defendant remains in possession after the expiry of the lease without the lessor's consent, such occupation is unauthorised, entitling the lessor to compensation in the form of occupation charges or penal rent. Judicial precedents, including Anthony v. KC Ittoop & Sons (supra) and Atma Ram Properties P Ltd. v. Federal Motors P Ltd (supra). , affirm that the burden shifts to the party in occupation to establish the date of surrender or handing over of possession.

132. In the present case, no material has been placed on record by the defendants to establish that possession was handed over prior to 30/09/2021.

133. Accordingly, in the absence of any evidence to the contrary and in light of the plaintiff's un rebutted pleadings and evidence, it is held that possession was handed over to the plaintiff only on 30/09/2021.

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134. The issue is, therefore, decided against the defendants and in favour of the plaintiff.

Issue No.(3) Whether the plaintiff is entitled to decree of recovery towards electricity and water charges to the tune of Rs.17,198/-? OPP

135. Upon a careful consideration of the pleadings, documentary evidence, and submissions made by the parties, this Court notes that the plaintiff has specifically claimed recovery of Rs.17,198/- towards electricity and water charges. The documentary record produced substantiates the claim, and there is no rebuttal or contrary evidence from the defendants, whose written statement has been struck off. The defendants have neither challenged the quantum nor the basis of the claim relating to these utility charges.

136. It is well settled in law that where the occupant continues to remain in possession beyond the lease period, liability for utility charges incurred during such unauthorised occupation also persists. The lease terms and the statutory framework require the occupant to clear all dues arising from their use and occupation, including essential services such as electricity and water.

137. In the present case, the plaintiff's assertion regarding outstanding utility charges remains un rebutted and is supported by documentary evidence.

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138. Accordingly, the Court is of the considered opinion that the plaintiff is entitled to a decree for recovery of Rs.17,198/- towards electricity and water charges from the defendants, for the relevant period, in accordance with the law and the terms of the lease. The issue is, therefore, decided in favour of the plaintiff.

Issue No.(4) Whether the plaintiff is entitled to interest, if yes, at what rate and for which period? OPP

139. Upon a careful consideration of the pleadings, documentary evidence, and submissions made by the parties, the Court notes that the plaintiff has sought interest on the amounts claimed, including occupation charges and utility dues. The defendants have failed to file any written statement or rebut evidence, and their defence stands struck off. In such circumstances, the entitlement to interest must be considered in accordance with the prevailing legal principles and



judicial precedents.

140. The Supreme Court of India, in a series of judgments including *Central Bank of India v. Ravindra & Ors.* [(2002) 1 SCC 367] and *Indian Oil Corporation Ltd. v. SPS Engineering Ltd.* [(2011) 3 SCC 507], has clarified that the grant of interest is discretionary but should be guided by fairness and prevailing market rates. The usual rate of interest awarded in similar cases ranges from 6% to 9% per annum, depending upon the facts and page 65 of 69 circumstances, and unless the contract specifies a higher rate, courts generally award simple interest at 9% per annum. More recently, the Supreme Court has continued to uphold 9% per annum as reasonable, unless there are special circumstances or contractual stipulations to the contrary.

141. In the present case, no contractual rate of interest has been established by the defendants, and the documentary record substantiates the plaintiff's claims. Given the absence of any challenge to the quantum or basis of the claim, and in line with judicial precedent, the Court finds that the plaintiff is entitled to simple interest at the rate of 9% per annum. The interest shall be calculated on the awarded amounts (occupation charges, utility charges, and any other sums decreed) from the date of accrual of each claim (i.e., from the date possession became unauthorised or the date utility charges became due) until realisation.

142. Accordingly, the issue is decided in favour of the plaintiff. The plaintiff is entitled to simple interest at the rate of 9% per annum on the amounts decreed, from the respective dates of accrual till the date of actual payment, in accordance with the law laid down by the Supreme Court of India.

Issue No.(5) Relief.

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143. Upon consideration of the findings on the issues above, the Court finds that the plaintiff has established entitlement to the reliefs claimed. The plaintiff's case is supported by unchallenged documentary evidence, statutory provisions, and relevant judicial precedents. The defendants' written statement stands struck off, and no rebuttal has been tendered to contest the claims or quantum of amounts sought.

144. Accordingly, the Court grants the following reliefs in favour of the plaintiff:

Money decree for recovery of outstanding occupation charges and penal rent for the period of unauthorised occupation, as established by the documentary record and as claimed by the plaintiff.

The plaintiff has filed a calculation sheet seeking Rent payable @ Rs.70,000/- per month for the period April, 2020 till September 2021 (both months included) which amounts to Rs.12,60,000/- (Rs Twelve Lakh Sixty Thousand). The plaintiff has also sought penal rent @ Rs.10,000/- per day for the period October 2020-September 2021 (both months included) amounting to Rs. 36,50,000/-. The total amount

sought by the plaintiff is Rs.49,10,000/- (Rupees Forty-Nine Lakh Ten Thousand only).

page 67 of 69 Decree for recovery of Rs.17,198/- towards electricity and water charges for the relevant period. Accordingly, a money decree of Rs.49,27,198/- (Rupees Forty-Nine Lakh Twenty Seven Thousand One Hundred Ninety Eight is granted in favor of the plaintiff and against the defendants.

Simple interest at the rate of 9% per annum on the amounts decreed (including occupation charges, penal rent, and utility charges), calculated from the respective dates of accrual till the date of actual realisation.

145. These reliefs are granted in accordance with the law, the terms of the lease, and the precedents cited, namely the following judicial precedents have been relied upon and cited in support of the reliefs granted: Central Bank of India v. Ravindra & Ors. [(2002) 1 SCC 367], Indian Oil Corporation Ltd. v. SPS Engineering Ltd. [(2011) 3 SCC 507], Anthony v. KC Ittoop & Sons [(2000) 6 SCC 394], Atma Ram Properties (P) Ltd. v. Federal Motors (P) Ltd. [(2005) 1 SCC 705], Ramanand & Ors. v. Dr. Girish Soni & Anr. [2020 SCC OnLine Del 635], and Raja Dhruv Dev Chand v. Raja Harmohinder Singh [AIR 1968 SC 1024].

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146. The absence of any defence or contrary evidence from the defendants further strengthens the plaintiff's entitlement to the reliefs claimed.

147. The issue of relief is, therefore, decided in favour of the plaintiff.

148. Parties to bear their own costs.

149. Decree sheet be drawn up upon payment of deficit court fees, if any, as per rules.

150. File be consigned to the record room.

Announced in the open court on 27.10.2025.

|         |                                      |                                                      |
|---------|--------------------------------------|------------------------------------------------------|
| Sunil   | Digitally signed by Sunil<br>beniwal | (Sunil Beniwal)                                      |
| beniwal | Date: 2025.10.28<br>11:49:13 +0530   | District Judge-06(South),<br>Saket Courts, New Delhi |

